



## India's growth will be driven by four structural trends that will shape future tailwinds and persist through different economic cycles

healthcare needs. For instance, we are building a pan-India healthcare services business through our majority investment in Manipal Hospitals, as we see significant demand for quality healthcare across all market tiers in the country.

At Temasek, our investments are guided by these trends. Within our portfolio, many of our Singapore-based subsidiaries are also pursuing similar opportunities in India. For example, Singapore Airlines and Tata Sons have agreed to merge Air India and Vistara to create India's leading airline group. Similarly, Sembcorp

Industries plans to expand its renewables portfolio in India as part of its five-year strategic plan to accelerate the energy transition.

We see strong structural drivers supporting long-term growth in India. The political and regulatory environment remains stable and conducive for investment. Reforms in taxation, infrastructure development, financialisation, and production-linked incentives have established a solid foundation for growth. Policies such as GST have transformed the business landscape. We expect the reform process to con-

tinue under the current pro-business government.

India's financial markets are now the fourth-largest globally. Consistent domestic flows of approximately \$20 billion annually into equity and debt markets, coupled with rapid product development and market sophistication under a progressive regulator, have created significant scale and value. The markets now have the depth to manage large transactions (over \$1 billion) within a single trading day. Despite elevated valuation levels and Indian equities trading above global averages, the growth prospects, strong management teams, and a positive economic environment offer opportunities for value. Our intrinsic value tests serve as our guardrails for investing or divesting, ensuring long-term compounding returns.

India's favourable demographics, including a young, skilled workforce with rising disposable incomes, drive strong domestic consumption that remains resilient to global shocks. While challenges in skilling and job creation persist, both public and private sectors are actively addressing them.

India's structural advantages, combined with its deep entrepreneurial talent pool, make it highly attractive to global capital. At Temasek, we are keen to explore co-investment opportunities with partners who share our vision for long-term value creation in India.

Now 20 years on, India's growth story remains compelling. The country is becoming a key player in global supply chains. The opportunities we see further strengthen our confidence to double down in the market for the long term—so every generation prospers. **BT**

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